Akeso 9926.HK 9926 HK

EQUITY: HEALTH CARE & PHARMACEUTICALS

1H26F preview and FY26F forecast revisions

1H26F drug sales growth and collaboration revenue to help achieve positive earnings; reaffirm Buy

Rating Remains	**Buy**
Target price Reduced from HKD 142.50	**HKD 138.29**
Closing price 23 July 2026	**HKD 102.80**
Implied upside	**+34.5%**
Market Cap (USD mn)	12,077.0
ADT (USD mn)	183.2

We estimate 1H26F topline of CNY2.4bn (+68% y-y) and net profit of CNY46mn

We expect Akeso to report 1H26F revenue of CNY2.4bn (+68% y-y), among which drug sales contribute CNY2.2bn (+55% y-y, or 33% more than that in 2H25), owing to the continued sales ramp up of cadonilimab and ivonescimab.

We also forecast collaboration revenue of CNY200mn derived from out-licensing ebronucimab to JumpCan (600566 CH, not rated) in February 2026.

We expect gross margin to improve by 2.3pp y-y to 81.7%, along with mild higher operating expense of CNY1.71bn(11% y-y) in 1H26F, resulting in a net profit estimate of CNY46mn (vs. a loss of CNY570mn/ CNY543mn in 1H25/2H25).

For 2H26F, we forecast Akeso's revenue of CNY2.7bn, owing to drug sales growth of 53% y-y to CNY2.5bn, and a net profit of CNY103mn.

We think the HARMONI-3 data readout and PDUFA decision(see our report: *Quick Note - Akeso (9926 HK) (Buy) -A positive OS update from HARMONi*) are key catalysts for this name in 2H26.

Maintain Buy rating and fine-tune TP to HKD138.29 from HKD142.50

We lower FY26F revenue/earnings by 5.9%/79.4%, to factor in a mix of our higher candonilimab sales and lower collaboration revenue, and higher OPEX estimates.

We lower our DCF-based TP to HKD138.29 from HKD142.50 (assuming an unchanged WACC of 10.5% and a terminal growth rate of 4.0%) and maintain our Buy rating. The stock currently trades at 3.7x P/S based on FY35F sales of CNY22.3bn.

Relative performance chart

Source: LSEG, Nomura

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Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	3,056	5,404	5,083	7,491	7,214	9,998	9,762
Reported net profit (mn)	-1,113	723	149	1,942	1,249	3,530	3,092
Normalised net profit (mn)	-1,113	723	149	1,942	1,249	3,530	3,092
FD normalised EPS	-1.28	83.29c	17.14c	2.24	1.44	4.07	3.56
FD norm. EPS growth (%)	–	–	–	168.7	739.4	81.7	147.7
FD normalised P/E (x)	–	–	550.1	–	65.5	–	26.5
EV/EBITDA (x)	–	–	109.0	–	38.0	–	18.0
Price/book (x)	9.0	–	8.9	–	7.8	–	6.0
Dividend yield (%)	–	–	–	–	–	–	–
ROE (%)	-14.0	7.7	1.6	18.1	12.7	26.2	25.8
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

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Key data on Akeso

Performance

(%)	1M	3M	12M		
Absolute (HKD)	20.2	-21.2	-28.3	M cap (USDmn)	12,077.0
Absolute (USD)	20.2	-21.3	-28.2	Free float (%)	43.6
Rel to Hang Seng Index	13.6	-17.2	-25.8	3-mth ADT (USDmn)	183.2

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	2,124	3,056	5,083	7,214	9,762
Cost of goods sold	-289	-652	-891	-1,059	-1,161
Gross profit	1,835	2,404	4,191	6,155	8,601
SG&A	-2,393	-3,308	-3,660	-4,234	-4,432
Employee share expense					
Operating profit	-558	-904	532	1,921	4,169
EBITDA	-370	-642	758	2,160	4,427
Depreciation	-186	-259	-217	-227	-241
Amortisation	-2	-3	-9	-13	-17
EBIT	-558	-904	532	1,921	4,169
Net interest expense	-68	-131	-173	-173	-164
Associates & JCEs					
Other income	125	-106	-182	-272	-388
Earnings before tax	-501	-1,141	178	1,475	3,618
Income tax	0	0	-27	-221	-543
Net profit after tax	-501	-1,141	151	1,254	3,075
Minority interests	-13	28	-2	-5	17
Other items					
Preferred dividends					
Normalised NPAT	-515	-1,113	149	1,249	3,092
Extraordinary items					
Reported NPAT	-515	-1,113	149	1,249	3,092
Dividends					
Transfer to reserves	-515	-1,113	149	1,249	3,092
Valuations and ratios					
Reported P/E (x)	–	–	550.1	65.5	26.5
Normalised P/E (x)	-158.7	-73.4	550.1	65.5	26.5
FD normalised P/E (x)	–	–	550.1	65.5	26.5
Dividend yield (%)	–	–	–	–	–
Price/cashflow (x)	–	–	340.1	73.7	27.8
Price/book (x)	12.0	9.0	8.9	7.8	6.0
EV/EBITDA (x)	–	–	109.0	38.0	18.0
EV/EBIT (x)	–	–	155.4	42.7	19.1
Gross margin (%)	86.4	78.7	82.5	85.3	88.1
EBITDA margin (%)	-17.4	-21.0	14.9	29.9	45.4
EBIT margin (%)	-26.3	-29.6	10.5	26.6	42.7
Net margin (%)	-24.2	-36.4	2.9	17.3	31.7
Effective tax rate (%)	–	–	15.0	15.0	15.0
Dividend payout (%)	–	–	0.0	0.0	0.0
ROE (%)	-8.9	-14.0	1.6	12.7	25.8
ROA (pretax %)	-8.3	-13.9	7.2	24.1	47.9
Growth (%)					
Revenue	-53.1	43.9	66.3	41.9	35.3
EBITDA	-116.9	–	–	185.0	104.9
Normalised EPS	-124.5	–	–	739.4	147.7
Normalised FDEPS	-125.4	–	–	739.4	147.7

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	-370	-642	758	2,160	4,427
Change in working capital	2,698	-223	-143	-390	-396
Other operating cashflow	-2,856	-83	-374	-660	-1,088
Cashflow from operations	-528	-948	241	1,111	2,943
Capital expenditure	-586	-787	-280	-361	-439
Free cashflow	-1,113	-1,735	-39	750	2,504
Reduction in investments	0	0	0	0	
Net acquisitions					
Dec in other LT assets	-147	-3	-12	-21	-30
Inc in other LT liabilities	28	-4	-89	-80	-72
Adjustments	-818	-3,319	69	67	67
CF after investing acts	-2,050	-5,061	-71	717	2,469
Cash dividends					
Equity issue	2,823	3,179	0	0	0
Debt issue	962	655	-447	91	92
Convertible debt issue					
Others	3,641	5,999	-89	-80	-72
CF from financial acts	7,426	9,832	-535	11	21
Net cashflow	5,375	4,771	-607	727	2,489
Beginning cash	1,542	6,918	8,822	8,216	8,943
Ending cash	6,918	11,689	8,216	8,943	11,433
Ending net debt	-2,976	-4,282	-4,122	-4,759	-7,156

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	6,918	8,822	8,216	8,943	11,433
Marketable securities	0	0	0	0	0
Accounts receivable	525	1,022	1,244	1,707	2,229
Inventories	707	932	1,070	1,184	1,203
Other current assets	542	502	493	487	482
Total current assets	8,692	11,277	11,024	12,321	15,347
LT investments					
Fixed assets	3,231	3,880	3,946	4,071	4,248
Goodwill					
Other intangible assets	12	19	20	22	24
Other LT assets	821	824	836	856	886
Total assets	12,755	16,000	15,826	17,270	20,505
Short-term debt	535	586	60	70	80
Accounts payable	425	452	604	723	799
Other current liabilities	726	1,158	1,215	1,276	1,340
Total current liabilities	1,687	2,195	1,880	2,069	2,219
Long-term debt	3,406	3,955	4,034	4,115	4,197
Convertible debt					
Other LT liabilities	909	905	815	735	663
Total liabilities	6,001	7,054	6,729	6,919	7,080
Minority interest	-60	-102	-100	-94	-112
Preferred stock					
Common stock	0	0	0	0	0
Retained earnings					
Proposed dividends					
Other equity and reserves	6,814	9,048	9,197	10,445	13,538
Total shareholders' equity	6,814	9,048	9,197	10,445	13,538
Total equity & liabilities	12,755	16,001	15,826	17,270	20,505
Liquidity (x)					
Current ratio	5.15	5.14	5.86	5.95	6.91
Interest cover	-8.2	-6.9	3.1	11.1	25.4
Leverage					
Net debt/EBITDA (x)	–	–	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (CNY)	-59.42c	-1.28	17.14c	1.44	3.56
Norm EPS (CNY)	-59.42c	-1.28	17.14c	1.44	3.56
FD norm EPS (CNY)	-63.06c	-1.28	17.14c	1.44	3.56
BVPS (CNY)	7.87	10.44	10.60	12.04	15.60
DPS (CNY)	0.00	0.00	0.00	0.00	0.00
Activity (days)					
Days receivable	70.5	92.4	81.4	74.7	73.8
Days inventory	693.5	458.3	409.9	388.7	376.4
Days payable	492.5	245.4	216.2	228.8	240.1
Cash cycle	271.5	305.3	275.1	234.5	210.1

Source: Company data, Nomura estimates

Company profile

Akeso is a commercial-stage Biotech company with a leading position in the BsAb space. It is committed to in-house discovery, development and commercialization of first-in-class and best-in-class therapies. The company is dedicated to addressing global unmet medical needs in oncology, immunology and other therapeutic areas. Akeso's vision is to become a global leader in developing, manufacturing and commercializing innovative, next-generation and affordable therapeutic antibodies for patients worldwide.

Valuation Methodology

We derive our TP of HKD138.29 based on our DCF model with WACC of 10.8% and terminal growth rate at 4%. The benchmark index for this stock is Heng Seng Index.

Risks that may impede the achievement of the target price

(1) inferior HARMONi 3 data; (2) sales grow slower than expected; and (3) clinical setback for other assets.

ESG

With the vision "Become a global leader in developing, manufacturing and commercializing innovative, next-generation and affordable therapeutic antibodies for patients worldwide," Akeso has established an in-house drug development platform (ACE Platform), encompassing fully integrated drug discovery and development functions. As of 2023, the company currently has a pipeline of over 50 innovative investigative drugs for the treatment of major diseases, 19 (including 4 out licensed and 3 marketed products) of which have entered the clinical stage, including 6 potential first-in-class or best-in-class bi-specific antibodies.

Fig. 1: 1H26F income statement forecast

CNY mn	1H25	1H26F	YoY
Revenue	**1,412**	**2,373**	*68%*
COGS	(291)	(435)	*49%*
Gross profit	**1,121**	**1,938**	***73%***
GPM (%)	*79.4%*	*81.7%*	
R&D expenses	(731)	(854)	*17%*
G&A expenses	(134)	(142)	*6%*
Selling expenses	(670)	(712)	*6%*
Operating profit	**(414)**	**230**	**-155%**
OP margin(%)	*-29.4%*	*9.7%*	
Other income and expenses	(110)	(95)	*-14%*
Interest expenses	(63)	(80)	*26%*
Pre-tax profit	**(588)**	**55**	***-109%***
Income tax	0	8	*2039%*
Profit after tax	**(588)**	**47**	*-108%*
NPM (%)	*-41.7%*	*2.0%*	
Minority interest	(18)	0	*-103%*
Net profit to shareholders	**(570)**	**46**	*-108%*

Source: Company data, Nomura research

Appendix A-1

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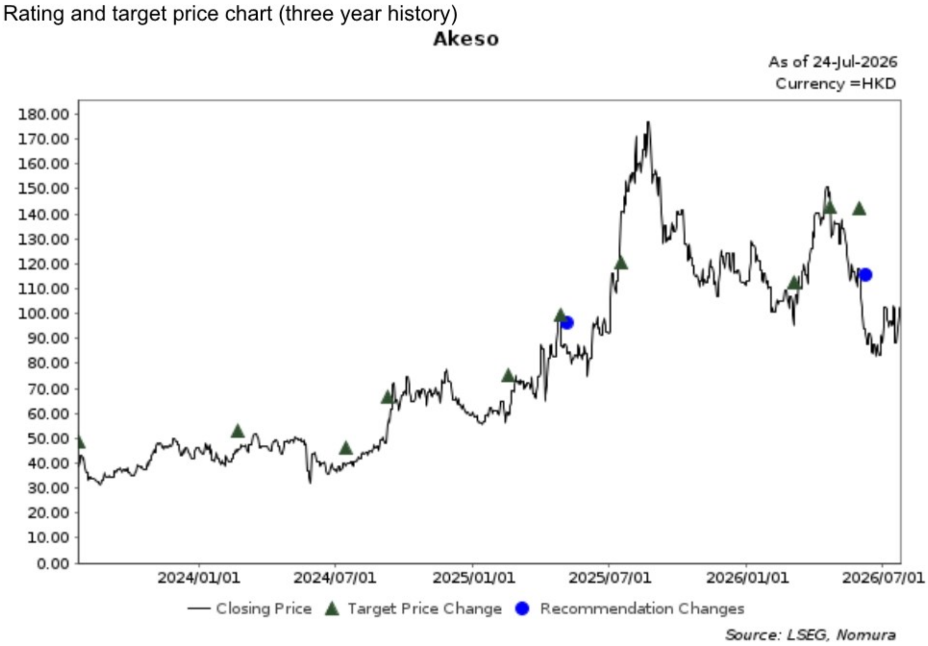
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Akeso	9926 HK	HKD 102.80	23-Jul-2026	Buy	N/A	

Akeso (9926 HK) **HKD 102.80 (23-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
31-May-26	Buy		118.10
31-May-26		142.50	118.10
22-Apr-26		142.75	149.30
04-Mar-26		112.73	95.30
17-Jul-25		120.64	139.50
27-Apr-25	Neutral		98.90
27-Apr-25		99.66	98.90
17-Feb-25		75.14	59.25
09-Sep-24		66.40	55.80
15-Jul-24		46.04	38.55
22-Feb-24		52.80	44.70
25-Jul-23		48.84	39.05

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We derive our TP of HKD138.29 based on our DCF model with WACC of 10.8% and terminal growth rate at 4%. The benchmark index for this stock is Heng Seng Index.
Risks that may impede the achievement of the target price (1) inferior HARMONi 3 data; (2) sales grow slower than expected; and (3) clinical setback for other assets.

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